Zomato Instant: kill, narrow or keep?

Internal memo | From: Pranav Thatavarti, PM, Instant | To: Food delivery leadership | 9 January 2023 | Decision needed this week

Portfolio exercise. I was not at Zomato. Public facts carry a source number; anything internal is my estimate, marked (est.).

> **My call: narrow it.** Drop the 10-minute promise now, keep the stations for one 8-week test of cheap weekday meals near offices and colleges, and shut the stations too if the test misses the bar below.

Context

We announced Instant on 21 March 2022 [1]. The idea was simple: finishing stations close to dense neighbourhoods, each holding 20–30 bestseller dishes from partner restaurants, picked by dish-level demand prediction. Food in under 10 minutes and, if it worked as planned, at least 50% cheaper for the customer [1]. Riders never see the promised time [1].

We went live in parts of Gurugram in April [3] and later in Bengaluru [4]. The plan was 40+ stations in Delhi-NCR within 90 days, then Bengaluru and Mumbai [2]. Reporting puts the Gurugram pilot at four stations [6]. We switched off ordering at the start of this year while we decide [5]. Meanwhile core food GOV grew just 3% QoQ in Q2 [5], so every rupee here is a rupee not spent on the main business.

What we bet on vs what the data shows

What we bet on	What the data shows
People will trade choice for speed. "Sort by fastest" is one of our most-used features [1].	Speed alone doesn't pull. The pilot's top sellers were momos, poha and Maggi [5]: snacks, not meals. Repeat outside office and student pockets is weak (est.).
Prediction lets a 20–30 dish menu cover most cravings [1].	A menu that small fits only a few micro-markets. We couldn't find many more such areas, or grow the menu, without breaking the clock [5].
Stations make food ~50% cheaper and keep partners' rupee margins whole [1].	Not at our volume. Each station is a fixed cost and we aren't doing the daily orders to cover it [6]. My math: ₹4–6 lakh a month per station (est.) at ₹40–50 contribution an order (est.) needs roughly 270–500 orders a day to break even (est.).
Saying "10 minutes" is safe because riders don't see the clock [1].	The public didn't hear it that way. Launch drew rider-safety backlash [3][5], and partners kept missing 10 minutes in the Gurugram pilot [6].

Options considered

Option	What it means	What it costs
Kill	Shut Instant and all stations this month. Move the team to core delivery.	Write off station set-up and partner onboarding. Lose the kitchen-ops learning. A "Zomato gave up" headline. Cheapest from February.
Narrow (my pick)	Retire the 10-minute brand. Use the stations for one job: low-priced weekday breakfast and lunch near offices and colleges, in 10–15 minutes.	Two more months of station costs, about ₹32–48 lakh for four stations (est.). The risk is a cheaper menu that also doesn't scale.
Keep / scale	Build the 40-station NCR plan [2], then add cities.	₹1.6–2.4 crore a month in fixed costs (est.) before a single station breaks even. More of the safety story in the press.

Recommendation

Narrow. I've stopped believing speed is the product. Speed is what you get when the menu is small enough to pre-stage, and that only works where demand is dense and predictable. Office parks and colleges at breakfast and lunch are the one place I see that in our data. So I'd stop promising 10 minutes everywhere and find out if a cheap, fixed menu can fill a station on weekdays. Scaling now only multiplies a fixed cost we can't cover today.

What we keep

- The stations, equipment and leases the test needs. Hand back the rest.
- Dish-level forecasting and the pre-mix workflow we built with partners like Chaayos and Biryani Blues [5].
- Two-km route data [3]: which micro-markets want what, at what hour.
- One lesson for every future launch: say "close and fast", never a number of minutes. The clock is what people heard.

Kill criteria

At week 8, I close the stations unless all three hold: **(1)** a station averages 300+ weekday orders a day (est. break-even band); **(2)** at least 35% of first-time buyers reorder within 30 days (est.); **(3)** contribution per order stays positive after rider cost. What would have made me argue to keep Instant as it was: two or more micro-markets already near break-even outside office areas. We don't have one (est.).

Comms plan

Who	What we say	When and how
Restaurant partners	What changes in the menu, what happens to any staff they have in stations, and when pending dues settle. No surprises in their dashboard.	Week −1. Account manager calls each one before the app changes.
Riders	Nothing changes in pay or rules. Still no timer and no late penalty.	Week 0. Hub leads brief at each station; FAQ in Hindi and English.
Customers	A new name and a new menu: affordable weekday meals in 10–15 minutes, in select areas. No “shutting down” and no minute count.	Week 0. In-app banner and a push to past Instant buyers.
Press	“Instant isn't shutting down. We're changing the menu with our partners.”	One holding line, only if asked.

What actually happened (written October 2026)

- **2023 went much like this memo.** Ordering was off from the start of the year. Zomato's line: not shutting down, new menu, stations intact [5]. On 22 Feb it launched Everyday in Gurugram: home-style meals from ₹89, in 10–15 minutes, cooked in Instant's stations [7].
- **The narrow bet didn't last either.** In May 2025 Eternal shut Everyday, calling homely meals “a limited use case largely for office locations in metros” [13]. That is my test failing, slowly. Hard 8-week criteria would have called it far earlier.
- **Where I was wrong: demand.** I wrote off 10-minute food as niche. Swiggy's Bolt (Oct 2024) used existing restaurants within 2 km and fast-prep items, no kitchens of its own [8]. It reached 400+ cities by Dec 2024 [9] and over 12% of Swiggy's food orders by May 2025 [10].
- **The same idea failed for Zomato.** Its own 15-minute tab, Quick (Jan 2025) [12], shut after about four months. Goyal blamed restaurant density and kitchen infrastructure, with no incremental demand [13]. Swiggy's standalone Snacc (Jan 2025) [14] closed in Feb 2026 [15].
- **Owned kitchens came back.** Blinkit's Bistro (Dec 2024) [11] had 38 kitchens by Jul 2025 [16] and about 45 by Jan 2026, with “early signs of product-market-fit” but ~₹50 crore a quarter of losses in the segment it sits in [17]. In Jan 2026 the government asked platforms to drop “10-minute” claims [18].

Scorecard. My call matched what Zomato did in 2023. I was right to drop the promise and wrong about the asset. I protected the stations, but the thing that made 10-minute food work at Swiggy was restaurant density, not kitchens.

Sources

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